

SENATE No.

The Commonwealth of Massachusetts

PRESENTED BY:

William N. Brownsberger, (BY REQUEST)

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act establishing reliance on written representations by retirement boards concerning the purchase or establishment of creditable service.

PETITION OF:

NAME:

Noelle Costa

DISTRICT/ADDRESS:

SENATE No.

By Mr. Brownsberger (by request), a petition (accompanied by bill) (subject to Joint Rule 12) of Noelle Costa for legislation to establish reliance on written representations by retirement boards concerning the purchase or establishment of creditable service. Public Service.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing reliance on written representations by retirement boards concerning the purchase or establishment of creditable service.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 32 of the General Laws, as appearing in the 2024 Official Edition,
2 is hereby amended by inserting after section 20C the following section:

3 Section 20D. Reliance on Written Representations of Boards Concerning the Purchase or
4 Establishment of Creditable Service.

5 (a) As used in this section, "written representation" means a written statement, letter,
6 notice, estimate or other document issued by a board, or by an employee or authorized agent of a
7 board acting within the scope of their job duties, that is addressed to a specific member or
8 beneficiary and that sets forth the board's position, interpretation or application of this chapter,
9 any rule or regulation under it, or the board's practice, relating to the member's prospective or
10 pending purchase or establishment of creditable service. This includes, but is not limited to, a
11 written statement concerning: (i) the member's eligibility to purchase or establish creditable

service; (ii) the amount of creditable service that may be purchased or established; (iii) the cost of such purchase or establishment, including the applicable interest rate; (iv) the time or manner of payment; or (v) the effect of the purchase or establishment on the member's group classification or on the amount, calculation or effective date of any retirement allowance or other benefit. A notice of benefits furnished pursuant to paragraph (k) of subdivision (5) of section 20 is a written representation for the purposes of this section to the extent that it addresses of these matters. A general publication, guide, summary or website posting that is not addressed to a specific member or beneficiary is not a written representation.

(b) A member, whether active or inactive, or a beneficiary who receives a written representation is entitled to rely on it as provided in subsection (c).

(c) Notwithstanding any general or special law to the contrary, including paragraph (c) of subdivision (5) of section 20, if a member or beneficiary reasonably relies on a written representation and acts or decides not to act, because of that representation, the board shall apply the law, rule, regulation or practice as stated in the written representation in determining the member's or beneficiary's rights, obligations and benefits under this chapter regarding the matters addressed, including any interest rate or calculation method stated, even if the representation was incorrect when made or later turns out to conflict with the law or the board's correct interpretation; provided, however, that this subsection does not apply if: (i) the member or beneficiary obtained the representation by fraud; or (ii) the representation was based on incorrect information provided by the member or beneficiary.

(d) A board may correct a written representation by sending a corrected written representation to the member or beneficiary to whom the original representation was addressed;

provided, however, that the correction may not affect the rights of the member or beneficiary under subsection (c) who, before receiving the corrected representation, reasonably relied on the original representation and: (i) made a payment to the system or entered into an agreement to purchase or establish creditable service; (ii) retired or filed an application for retirement; (iii) made an irrevocable election; (iv) separated from service; or (v) deferred a decision or election at the time the representation was made and later sought to act on the basis of the original written representation.

(e) A benefit paid or payable under a written representation that governs pursuant to subsection (c) or subsection (d) is not an error for the purposes of paragraph (c) of subdivision (5) of section 20. If applying a written representation under this section results in a benefit greater than what would otherwise be payable under this chapter, the difference shall be paid from system funds like any other benefit and shall not be recoverable from the member or beneficiary.

(f) When a member or beneficiary, or their authorized representative, makes a written request for information about purchasing or establishing of creditable service, the board shall acknowledge such request within 10 business days of its receipt and shall furnish a written representation responsive to such request within 30 days of its receipt; provided, however, that if the board requires records or information from a current or former employer, from another retirement system or from any other third party to respond, the board shall so notify the member or beneficiary within the same 30-day period and provide written representation within 30 days after receiving the necessary records or information.

55 (g) A member or beneficiary aggrieved by a board decision under this section may appeal
56 pursuant to subdivision (4) of section 16.

57 (h) The public employee retirement administration commission may issue rules and
58 regulations to implement this section, including standard forms for written representations,
59 corrected written representations and acknowledgments under subsection (f).

60 SECTION 2. Section 20D of chapter 32 of the General Laws applies to written
61 representations issued on or after March 1, 2020.